

History of Management

Overview

- Management, as we know it today, has evolved over centuries, shaped by changing business needs, workforce dynamics, and technological advancements. From ancient civilizations managing vast empires to modern businesses leveraging data-driven decision-making, the journey of management thought has undergone significant transformations.
- The **evolution of management** points to the ongoing evolution of management theories, strategies, and best practices over time. It focuses on how organizations advance their leadership, decision-making, and operational methods to improve their efficiency and effectiveness.

History of Management:

- The construction of a single pyramid took *20 years and involved more than 1,00,000 workers.*
- Who told each worker what to do? Who ensured that there are enough stones at the site to keep everyone busy? *Managers*



- Another example of early management can be seen during the *1400s* in the *city of Venice*, a major economic and trade centre.
- Venetians used warehouse and inventory system to *keep track of materials, HRM functions to manage labour force, etc.*



Early management Thought

- Management practice is as old as human civilization.
- Management thought refers to the ***theories*** that guide management of the organizations.
- Initially, these theories developed out of ***practical experience*** of managers in the organizations. Later on, they borrowed ideas from other fields of study like science, anthropology, sociology etc.



Cont'd..

- Management thought developed in the mid-late 1800's
- Ran parallel with the industrial revolution
 - Prior to that time organizations were small
 - Agrarian society moved to a mass production society
 - The period of 1700 to 1800 emphasizes the industrial revolution and the factory system highlights the industrial revolution. Adam Smith explicated the concept of division of labour.

- Two events are especially significant to management history.

1. Division of labours:

- *Adam Smith* (16 June 1723 – 17 July 1790) was *a Scottish moral philosopher*, pioneer of political economy, and a key figure in the Scottish Enlightenment.



2. Industrial revolution:

- In the late *eighteenth century* when *machine power substituted human power*, it became the more *economical* to manufacture goods in factories than at home.
- Requires someone to *forecast and handle the entire task*
That someone are called as *managers*.



Key historical developments in Management

01

**Pre-Scientific
Management
Era
(Before 1880s)**

02

**Classical
Management
Theories
(1880s–1930s)**

03

**Behavioral
Management
Theories
(1930s–1950s)**

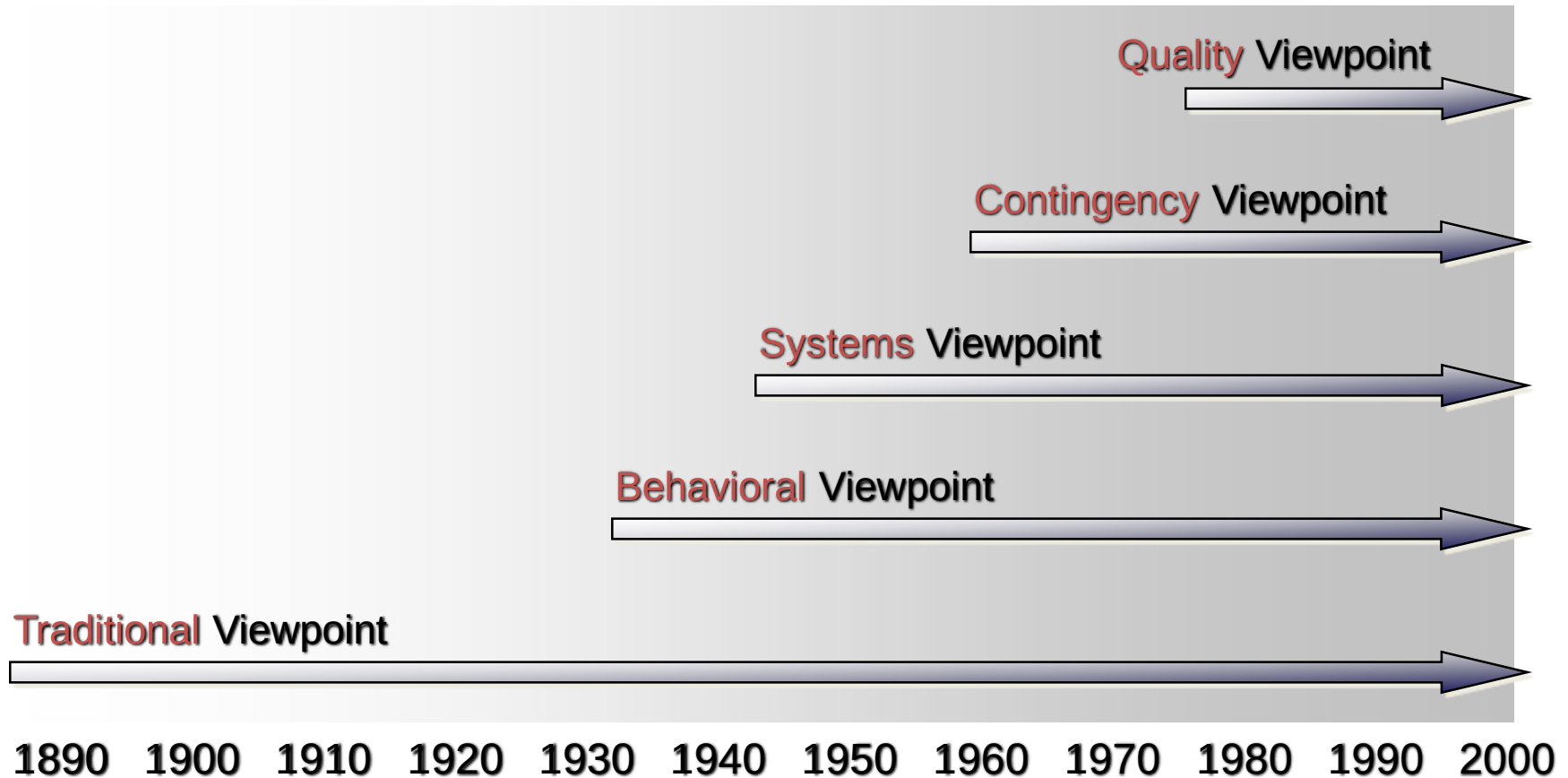
04

**Modern
Management
Theories
(1950s–Present)**

Cont'd..

- **Pre-scientific theories (before 1880)**
- **Classical theories (1880-1930)**
 - a. Taylor's scientific management theory b. Fayol's administrative theory c. Weber's bureaucracy theory
- **Behavioral theories / Neo-classical (1930-1950)**
 - a. Human relations theory b. Behavioral science theory
- **Modern / Contemporary theories (1950 onwards)**
 - a. Quantitative theory b. Systems theory c. Contingency theory d. Operational theory

Timeline



Five Viewpoints of Management

- Classical- late 1800's
 - Bureaucratic, Scientific, Administrative
- Behavioral- 1930's, 40's, 50's
- Systems-50's, 60's, 70's
- Contingency-60's, 70's, 80's
- Quality-80's, 90's

Assumptions of Viewpoints

- Continuous viewpoints do not replace each other but have differing perspectives
- All differ on how they view:
 - behavior of individuals
 - organizational goals
 - issues that the organization faces
 - how those issues should be resolved

Pre-Scientific Management Era (Before the 1880s)

- Companies operated on a trial-and-error basis, where decisions were made by leaders based on personal experience and not on formal principles. There was no formal method of organizing work, allocating resources, or enhancing efficiency. Business owners and managers instead used intuition, customs, and direct supervision to control employees.
- Examples like blacksmith shops and family businesses of the 18th and 19th centuries. Success in these businesses hinged on the business owner's craftsmanship as well as decision-making abilities and not on systematic management practices. Although this was effective with small-scale businesses, it was inefficient and lacked scalability as industries expanded in times of the Industrial Revolution.

Classical theories

Bureaucratic Management-

Max Weber, 1864-1920



Bureaucracy

The exercise of control on the basis of knowledge, expertise, or experience.

Aspects of Bureaucracy

- A rational method-scientific and logical approach to business
- Formal Rules for uniformity
- Division of labor into specialized areas
- Hierarchy
- Set Decision/Power Structure
- Record keeping

Pros & Cons

- Positive aspects
 - efficiency
 - consistency
 - set lines of communication
- Costs
 - follows rigid rules for the sake of rules
 - slow to change
 - can't respond to a dynamic environment

Scientific Management

- **Frederick W. Taylor (1856- 1915)**
described scientific management as a method of scientifically finding the “one best/efficient way to do a job”.
- Time and motion study
- Standardization
- Training to workers
- Pay Differentials
- Specialization
- Employees are economically motivated
- Friendly management-labor relations



F.W. Taylor:

- Taylor worked at the *Midvale and Bethlehem Steel companies* in Pennsylvania.
- He was continually appalled by worker's inefficiency. Taylor believed that worker output was only about one-third of what was possible.



Taylor's Four Management Principles

Rule of thumb should be replaced with science.

Scientifically select and then train, teach, and develop the workman.

There should be harmony, all work is done in accordance with the principles of the science.

There is almost equal division of the work and the responsibility between management and workmen.

Other contributions

❑ Frank Gilbreths

- Scientific management focuses on one best way to do job.
- Includes both analysis and synthesis.
- Includes necessary elements for work.
- Introduced chart form of representation.

❑ Lillian Gilberth

- A strong proponent of better working conditions as a means of improving efficiency and productivity.

❑ Henry Gantt

- Most famous for developing the Gantt chart in the 1910s. Implemented a wage incentive programme.

Criticism

Did not appreciate the social context of work and higher needs of workers.

Did not acknowledge variance among individuals.

Tended to regard workers as uniformed and ignored their ideas for suggestions.

General Administrative Theory

- **Henri Fayol (1841-1925)** identified five management functions and 14 management principles.
- Management is a science that can be learned.
- Focused on what constituted good management.



Administrative Management: 14 Principles

1. Division of work

2. Authority and responsibility

3. Discipline

4. Unity of command

5. Unity of direction

6. Subordination of individual interests

7. Remuneration

8. Centralization

9. Scalar chain

10. Order

11. Equity

12. Stability of tenure of personnel

13. Initiative

14. Esprit de corps

Cont'd..

- **Scalar chain** is a straight line or chain of authority that runs from highest to lowest rank in the organization.
- **Unity of Direction** Teams with the same objective should be working under the direction of one manager, using one plan
- **Unity of Command** states that employees should receive orders and instructions from one boss only.
- **Esprit de corps (Team spirit)** feeling of enthusiasm, devotion, loyalty, pride for a cause.

Limitations

- The classical school of management thought heavily on the concept of economic man, which placed emphasis on an individual's related pursuit or economic objective. However, the social needs of employees were neglected.

Neoclassical Theory

- Also known as “Behavioural science approach to modifying and improving the classical theory”.
- Neoclassical theory gives importance to human and social aspects of the worker and his relations in the organization.
- Elements of Neoclassical theory
 - Hawthorne Experiment
 - Human Relations Management
 - Behavioural science approach

Behavioral / Human relations Approaches

- People and their behaviors matter within the organization
- Explores how managers do their job in order to affect the behavior of subordinates.
- Efficiency alone is not enough to produce organizational success.
- Success depends on treating workers well.
- Positive work environment
- Focus in on people
- Sound human relations

The Hawthorne Studies: E. Mayo

- Conducted by Elton Mayo at Hawthorne plant general electronic company (GEC) between 1927 and 1932 at Chicago.
- Objective of the experiment was to find out the behaviour and attitude of workers.
- 4 phases of Hawthorne experiment:
 - Illumination Experiment (1924-1927)
 - Relay assembly room experiment (1924-1928)
 - Mass interviewing programme (1928-1930)
 - Bank wiring room study (1931-1932)

Findings

- Workers' feelings and attitudes affected their work.
- Financial incentives weren't the most important motivator for workers.
- Group norms and behavior play influence people behavior at work.



Contd..

- Theorized that workers would be more productive if given favorable working conditions.
- Found that the attention given to workers was the variable that affected performance-
Hawthorne effect.

Criticism

- Lack validity
- More importance to human aspects
- Emphasizing on group decision making
- It was not concluded scientifically
- Over importance to freedom of workers

Quantitative / empirical approaches

- The quantitative approach applies statistics, optimization models, information models, computer simulations, and other quantitative techniques to the management process.
- Use quantitative techniques to improve decision making.
- Evolved from mathematical and statistical solutions developed for military problems during World War II.

- Central to the quantitative approach is the principle that organizations are decision-making units. These decision-making units can be made more efficiently using mathematical models that place relevant factors into numerical terms.

Some techniques

- Theory of Probability,
- Sampling Analysis,
- Correlation / Regression Analysis,
- Time Series Analysis,
- Ratio Analysis,
- Variance Analysis,
- Statistical Quality Control,
- Linear Programming,
- Game Theory,

Total Quality Management

- TQM is a management theory developed following WWII during the reconstruction of Japan. It is a management approach that focuses on the following elements of operations: W. Edwards Deming and Joseph M. Duran 's ideas became the basis for this approach.
 - Customer Focus
 - Employee Empowerment
 - Final Product Quality
 - Continuous Improvement
 - Process Focused
 - Accurate Measurement

Operations management

- Operations management is a field of management focusing on efficiency, effectiveness, and producing or organizational systems, process, and functions used in the manufacture of goods or provision of services. It focuses on the operation and control of the production process that transform resources into finished goods and services.
- It is a derivative of the mathematical models in which specified measurement systems are applied to operational scenarios. These methods are used to achieve a higher level of efficiency in operational tasks, such as plant layout, plant location, inventory control, and product distribution.

Operations Management Tools

Quality control

Forecasting techniques

Capacity planning

Productivity measurement and improvement

Linear programming

Scheduling systems

Inventory systems

Work measurement techniques

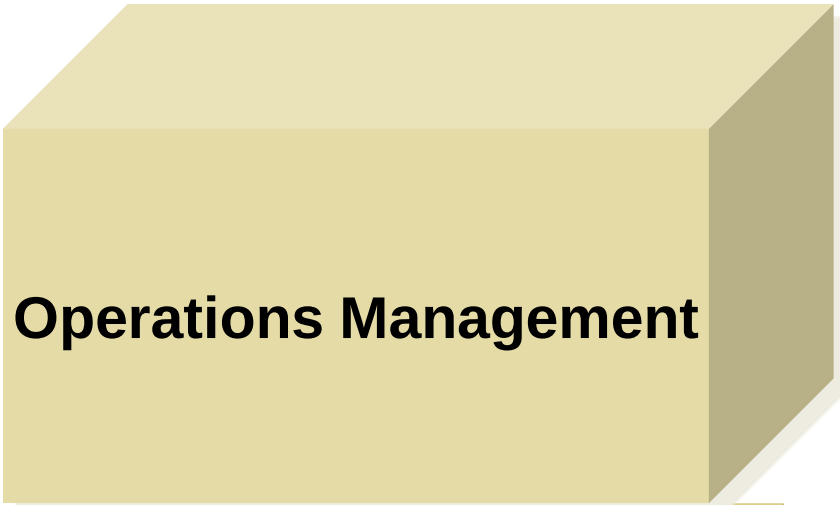
Project management

Cost-benefit analysis

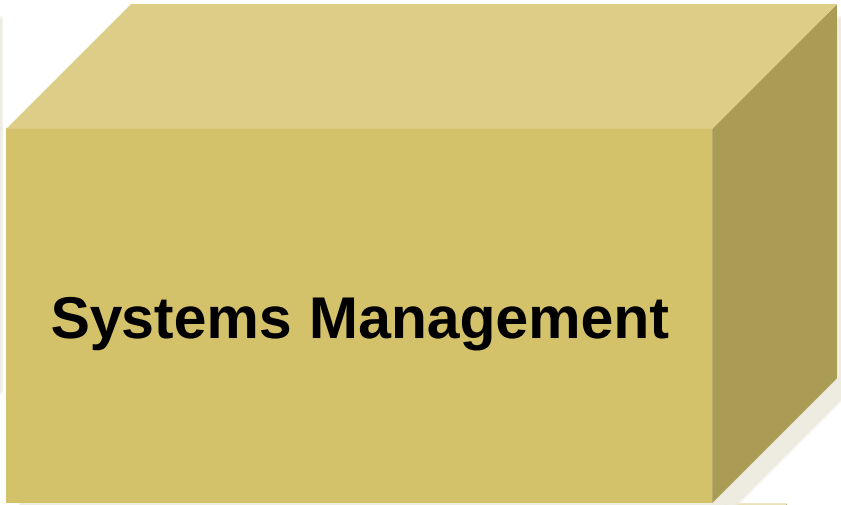
Management information systems

- MIS is the recent branch of the quantitative school. MIS organizes past, present, and projected data from both internal and external sources and processes it into usable information, which it then makes available to managers at all organizational levels.
- The information systems are also able to organize data into usable and accessible formats. As a result, managers can identify alternatives quickly, evaluate alternatives by using a spreadsheet program, pose a series of “what-if” questions, and finally, select the best alternatives based on the answers to these questions.

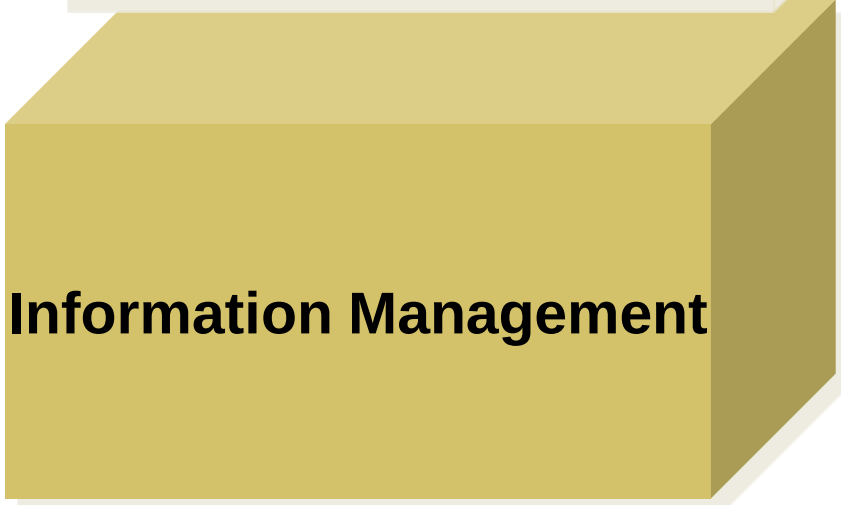
Contemporary approaches to Management



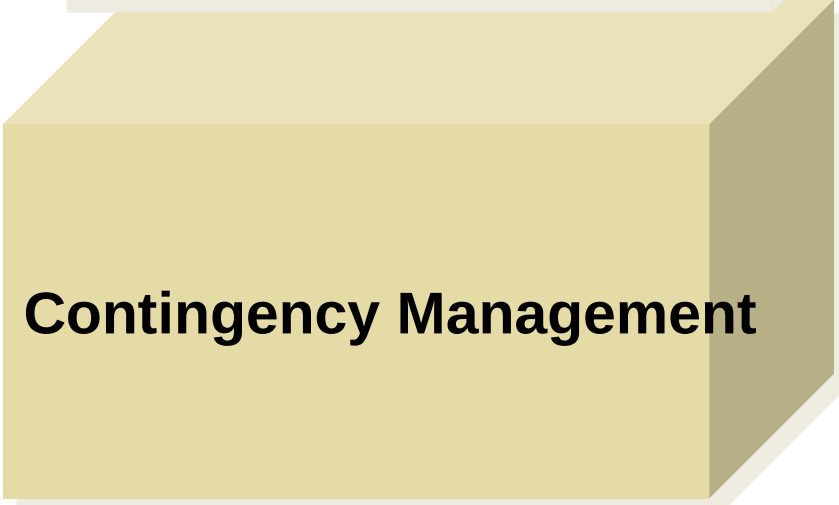
Operations Management



Systems Management



Information Management



Contingency Management

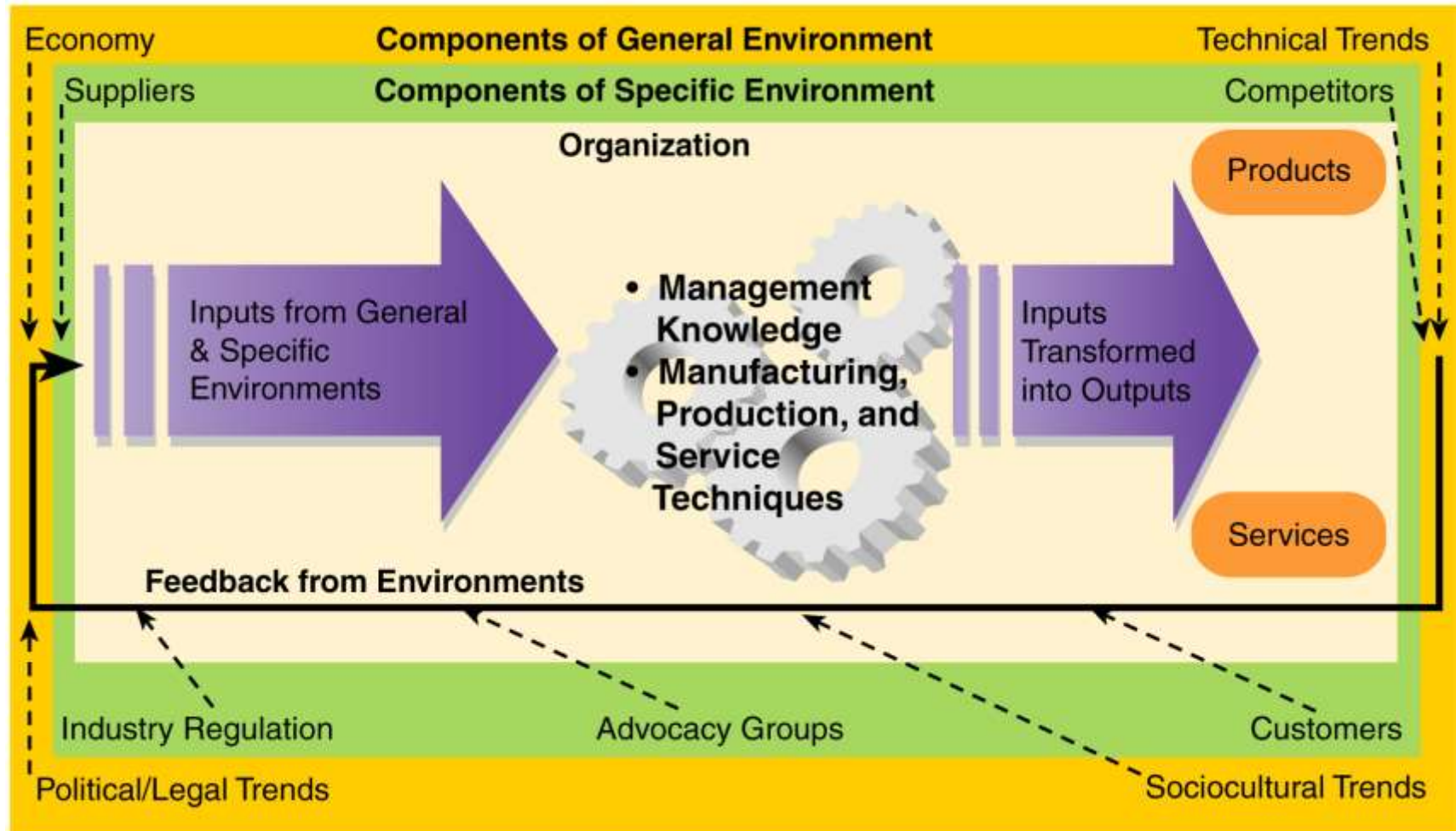
Systems approach

Systems theory, organizations are ***seen as systems composed of a set of interdependent parts which co-ordinate their efforts in order to achieve common goals.*** Organizational systems operate on the basis of four elements:

Inputs, Transformation, Output, and
Feedback

- This approach allows managers to ***assess their organization's interaction with the larger environment.*** An open system is an organizational system which interacts with its environment whereas a closed system is one that does not do so and is therefore self-sufficient. However, in reality, **an organization cannot be a totally closed system because for survival, an organization has to interact with its environment.**

Systems approach



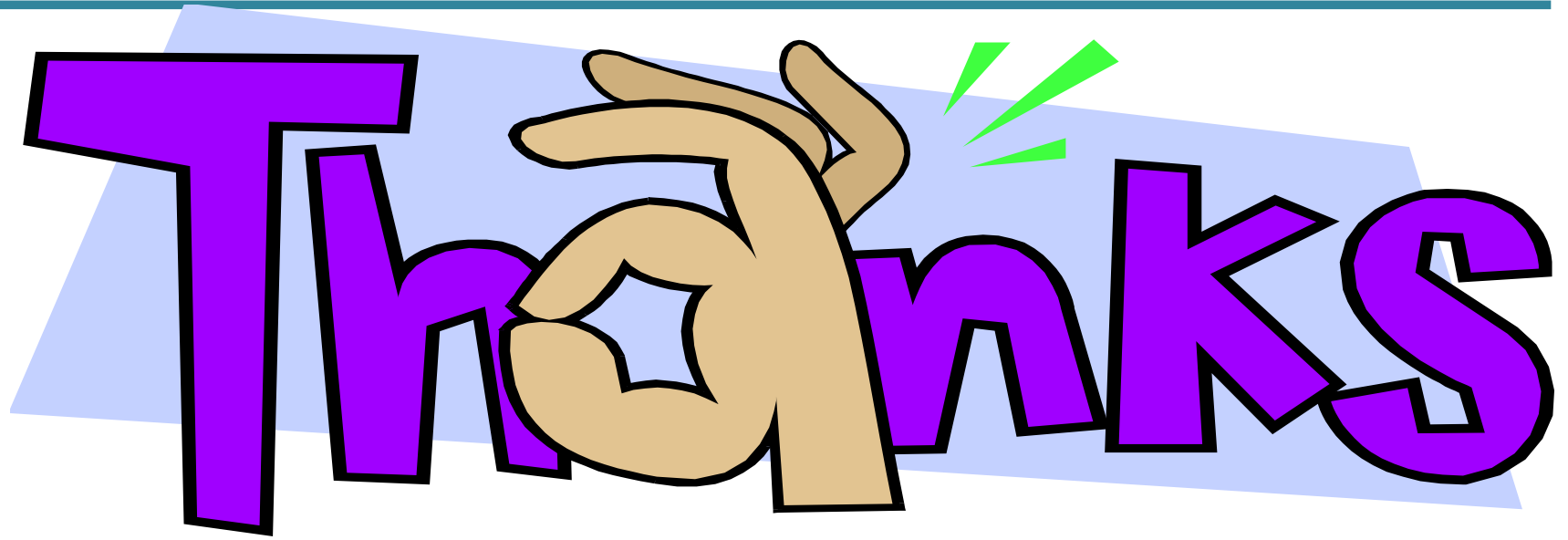
Contingency Approach

- **Fred Feildler (1922-2017)** first popularized the contingency approach (or ***situational approach***) which says that organizations, employees, and situations are different and require different ways of managing.
- Holds that the most effective management theory or idea depends on the kinds of problems or situations that managers are facing at a particular time and place.

- The contingency theory therefore supports the view ***that "there is no one best way to manage"*** and emphasizes the use of any management approach suited to the organizational situation and helps managers to manage more effectively. This theory ***implies that managers can make decisions based on the situation at hand rather than a "one size fits all" method.*** A manager takes appropriate action based on aspects most important to the current situation

A quick recap.....

<https://www.youtube.com/watch?v=EobeHwOw3S4>



Questions ?

mfaraz.naim@pilani.bits-pilani.ac.in